COPART INC CPRT

April 21, 2026 - 2:37pm EST
by tharp05

			2026	2027
Price:	34.00	EPS	0	0
Shares Out. (in M):	975	P/E	0	0
Market Cap (in $M):	33,153	P/FCF	0	0
Net Debt (in $M):	-5,102	EBIT	0	0
TEV (in $M):	28,051	TEV/EBIT	0	0

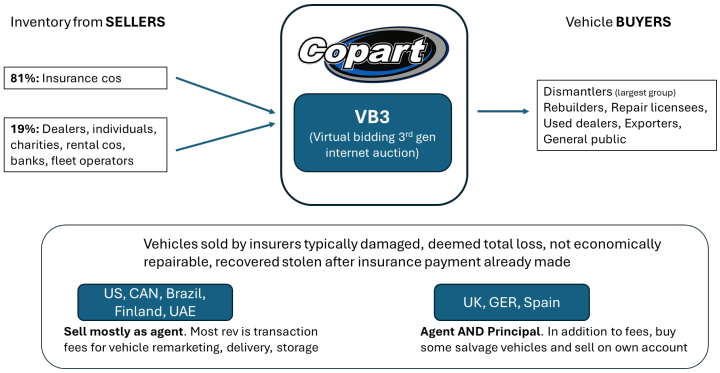
Description

Founded in 1982, Copart is the preeminent global salvage auction platform, characterized by stable high margins and a strong land moat. Shares have declined 40% in the last year due to recent auction volume weakness. With secular bear concerns well-discounted, any sentiment recovery provides the chance to own a traditional value generator at a reasonable price.

If the industry is in permanent decline, CPRT can drastically cut growth capex, improving FCF and potentially realize value from its vast owned land portfolio. There are multiple ways for investors to win alongside founder-based leadership whose wealth is uniquely aligned with shareholders.

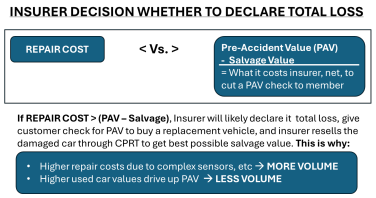
Business model

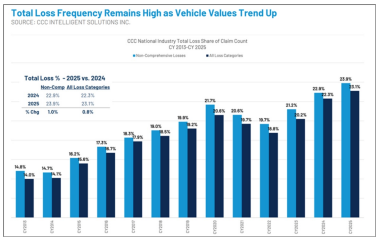
Copart runs an online auction of salvage vehicles, which are mostly sourced from insurance companies whose members had an accident and the vehicle declared totaled. Typically, CPRT will arrange vehicle pickup, towing to its owned storage yards, before presenting for auction.



Most revenue is generated from seller fees, with a small portion from buyer membership. The value proposition to SELLERS is the ability to earn higher returns from damaged vehicles than other disposal methods. This is due to Copart's leading global buyer base and its tools to streamline the process (recovery estimate, title recovery, towing, etc) that reduce waste and improve member experience. The value to BUYERS is a large marketplace of vehicle and parts inventory at cheaper prices than buying from traditional sources.

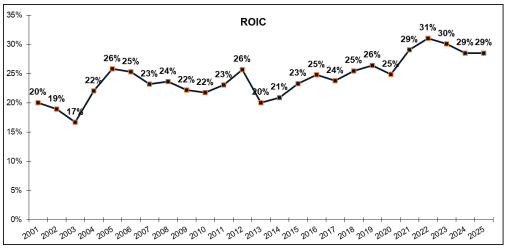
The long-term growth engine is rising total loss frequency (TLF), ie insurer declaring a damaged vehicle total loss, giving the member a check to buy a replacement vehicle instead of repairing it. In this case, the insurer takes ownership of the damaged vehicle and sells through CPRT for maximum possible salvage value.

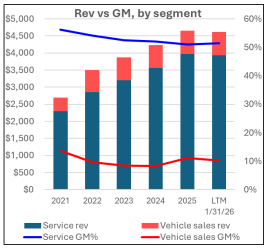




TLF has grown for decades, as 1) repairs take longer and become more expensive, and 2) auction buyer base expands globally, increasing salvage values. These trends should persist.

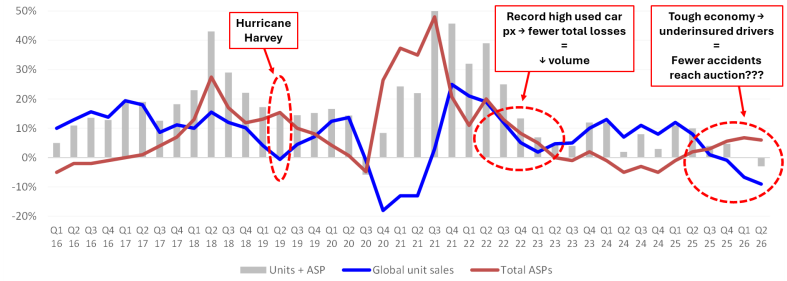
Despite owning ~90% of its storage land and buying aggressively over time, CPRT earns impressive and predictable returns due to its asset-light auction model.





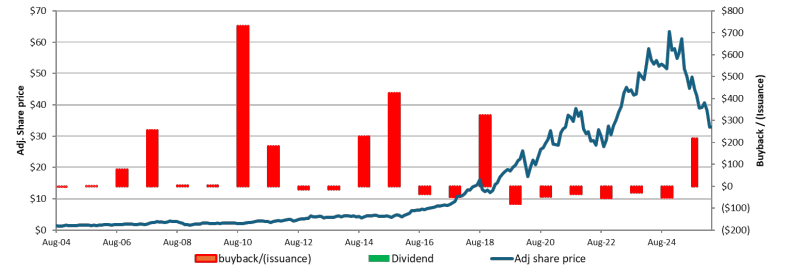
Current situation

Shares have declined ~50% from May25 peak amid fear about long-term volume growth. There have been similar past unit declines, but ASPs had offset volume to support revenue. This is the first multi-quarter revenue slump over the last decade.



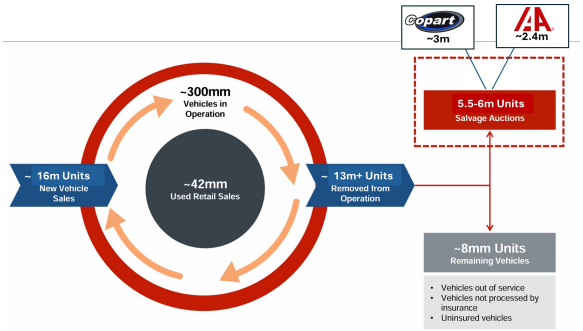
Given the quality of this business, current ~16x EV/EBIT is attractive if volume stabilizes.

Management appears to agree, as they took the uncommon step of repurchasing ~$1.2B equity YTD. This is more compelling than most company buybacks, as founder Willis Johnson still owns 8% of shares, his successor CEO, son-in-law and Executive Chairman Jay Adair owns 2%. Current management's pay is heavily weighted toward long-term options. Historically, this group has decisively repurchased shares when they see opportunity.



Risks

Autonomous vehicles lead to dramatically fewer accidents long-term. This is the key investor concern amid current weakness. While it could happen, the possibility is no greater than a year ago, before volume declines led to a 50% drawdown. In practice, the NA car parc is relatively stable, as illustrated from this updated slide from IAA's June19 NA car parc funnel.



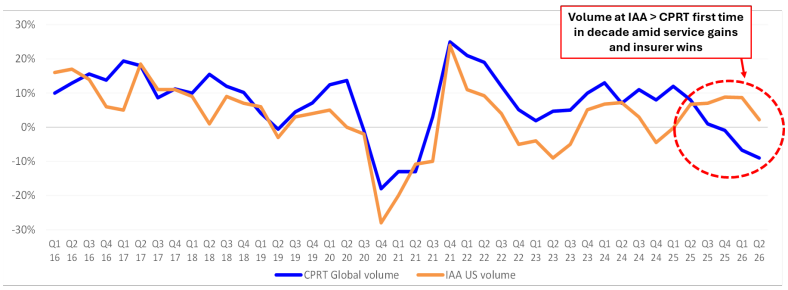
As the 300m cars in operation continue aging, TLF should rise as pre-accident values decline. The 13m+ units coming out of operation annually comprise <5% of the base. Any impact of AV would be negligible at this point. Over time, this could be a risk, but it would likely be many years before AV penetration reached a point where its safety impact outweighs rising TLF.

Market penetrated. Copart has deeply penetrated the NA salvage market with ~50% share. At this size, investors need industry growth, which could be below past trends. International is ~18% of revenue and 25% of vehicles sold. International margins are lower, as more revenue is driven by CPRT selling vehicles for its own account. Though reflected in valuation, Copart's historical market share gains will be tough to repeat, creating a revenue headwind.

Macro weakness. The car parc chart also supports management's hypothesis that weak volume is due to fewer of the 13m cars removed from operation annually going to salvage. This is caused by "underinsurance," as more people choose liability-only to reduce premiums, and is likely temporary as people prefer to insure their vehicles if possible. A steep economic downturn would exacerbate these current headwinds in the interim.

Competition

Salvage industry in NA is a duopoly, with CPRT estimated ~50% auction market share and IAA (subsidiary of RBA) slightly below. Current CPRT risk is fueled by IAA gaining share in recent quarters. Difficult to point to structural reason this should persist aside from RBA being a better IAA steward than standalone (2019-23) or as KAR subsidiary (2011-19).

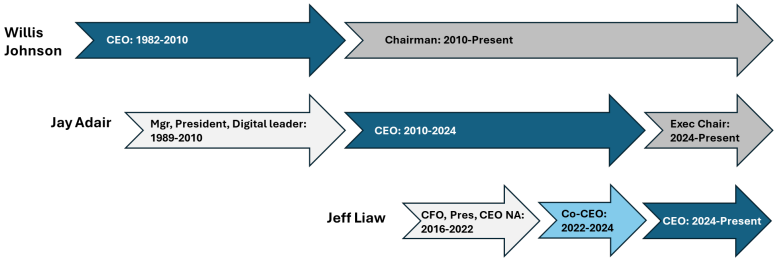


For comparison, RBA acquired IAA for ~13.5x trailing EV/EBITDA in Mar23. Copart, the market leader with a history of superior execution, is now trading at 14x.

In addition to superior execution, scale and geographic diversity, CPRT owns ~90% of its 21k land acres, versus IAA owning ~40% of its 15k. This provides CPRT investors a structurally higher margin and more predictable business over time.

Management / Incentives

Copart is among the most heavily aligned executive teams of a publicly traded company. CEOs have had very long tenures since Johnson's founding in 1982.



Compensation is also instructive. The guaranteed portion is modest, with CEO earning ~$1m base and $1m annual bonus. The long-term award is equity options expiring after 10yrs. Jeff Liaw's last award was in 2022 when promoted to co-CEO. His next eligible award date is 2026. While the variance is large, management's claims of making decisions based on long-term shareholder value are more credible when their wealth is directly aligned.

Options

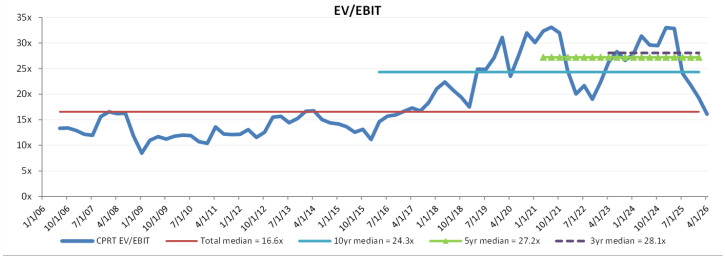
Named Executive Officer	Option Grant Date	Number of Securities Underlying Unexercised Options (#) Exercisable	Number of Securities Underlying Unexercised Options (#) Unexercisable	Equity Incentive Plan Awards: Number of Securities Underlying Unexercised Unearned Options	Option Exercise Price ($)	Option Expiration Date
A. Jayson Adair	6/12/2020	4,000,000(1)	—	—	21.26	6/12/2030
Jeffrey Liaw	10/10/2016	21,332(2)	—	—	6.78	10/10/2026
	10/4/2017	355,557(2)	—	—	8.70	10/4/2027
	3/7/2019	600,000(2)	—	—	14.57	3/7/2029
	3/9/2021	554,664	—	85,336(3)	26.58	3/9/2031
	4/1/2022	1,300,000	—	700,000(4)	31.42	4/1/2032
Leah C. Stearns	12/5/2022	31,000	29,000(5)	—	32.85	12/5/2032
	12/5/2022	155,000	—	145,000(6)	32.85	12/5/2032
	11/24/2023	25,000	50,000(7)	—	50.81	11/24/2033
	11/24/2023	25,000	—	50,000(8)	50.81	11/24/2033

Restricted stock

Named Executive Officer	Grant Date	Stock Awards: Number of Shares or Units of Stock that Have Not Vested	Market Value of Shares or Units of Stock That Have Not Vested ($)(1)
A. Jayson Adair	—	—	—
Jeffrey Liaw	04/01/2022	70,000(2)	3,173,100
Leah C. Stearns	12/05/2022	60,000(3)	2,719,800

Valuation

The last time IAA reportedly gained share from CPRT was 2011-12, and CPRT traded at ~12-16x EV/EBIT. As current valuation approaches these levels, the risk/reward seems decent.



Since 2012, Copart has increased its international presence and improved margins through scale and other efficiencies. A modest sentiment improvement could lead to long-term median 20x multiple or higher. In this scenario, assuming no margin improvement, upside is 20%.

LTM 1/31/26 Revenue	$4,614		
Assumed EBIT margin	36.0%	Curr LTM ebit %	36.5%
EBIT	$1,661	3yr median ebit %	37.1%
		10yr median ebit %	36.8%
MSA legal expenses	0	25yr median ebit %	32.0%
Non-recurring expenses	0		
Adjusted EBIT	$1,661		
Implied normal EBIT margin	36.0%		
EBIT multiple	12.0x	20.0x	28.0x
Resulting value	$19,930	$33,217	$46,504
Net debt	(5,102)	(5,102)	(5,102)
Implied market cap	$25,032	$38,319	$51,606
Share price	$25.67	$39.30	$52.92
Upside from current	-22.2%	19.1%	60.4%

Long-term margin gains are likely, as IAA has been a rational competitor, and insurers have greater economic gains from higher salvage values and efficient processes developed by CPRT than any price concession.

Optionality

Total loss frequency spikes. The interplay between repair costs, salvage values and pre-accident value impact TLF. If for any reason repair costs increase (tariffs drive parts costs, etc), salvage values rise (foreign buyers seek more salvage), or used car prices moderate, TLF will drive volumes and improve sentiment.

Outsized growth in non-insurance. The ~20% of auction supply that is not from insurers is growing faster than the core business as international buyers become an increasingly attractive outlet to dealers and other sellers. As sellers continue to become aware of Copart as a disposal option, this could be a major long-term growth driver.

Acquired/ taken private. No expectation here, but at a certain price, management may prefer to run the business without public input. They already take the long-term approach of a private company, and the cash positive balance sheet and steady FCF generation could be attractive to a sponsor. This seems unlikely, but not impossible.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

- There is no obvious catalyst, but there will likely come a quarter where volume turns positive and sentiment improves. This is a function of steadily rising TLF. While management may be optimistic in their growth expectations, investors can take some solace in their being highly aligned with common shareholders' long-term success.

Messages

Subject IAA
Entry 04/21/2026 03:10 PM
Member Fat_Tony

Thanks for the writeup tharp.

There has been a lot of scuttlebutt that insurers are actively trying to mitigate their dependence on CPRT. Plenty of expert calls and even sell-side notes quoting insurers as wanting to migrate share towards IAA. Feedback is that IAA service has massively improved under RBA.

See the short pitch from HonkeyRed here on VIC from 2023. He basically nailed what has subsequently happened.

A decade+ ago, CPRT had ~30% shr vs IAA's ~25%. I believe that's more like 55%/30% today, even after recent CPRT share losses. We hear insurance execs talking about getting CPRT and IAA to parity.

I think the mkt is worried about multi-yr share loss at CPRT. If that's right, we're only in the early innings, with IAA having out-comped CPRT for ~4 quarters now.

IMO, that's why CPRT trades where it does today.

Do you see a reason for CPRT's recent share losses to abate or even reverse?

Subject Vastly understating ADAS risk
Entry 04/21/2026 04:32 PM
Member starfox02

I think you are vastly understating ADAS risk. I've followed and admired CPRT from a distance (never owned) for over a decade, but this is a dead company walking and I believe pointing to historical valuation multiples when the business is facing permanent secular decline (to ~zero) due to ADAS (whether or not we ever reach full autonomy) is, I think, a difficult case. I called Copart a buggy whip manufacturer (or something analogous) on a prior VIC post when it traded at a much higher multiple, and received probably the most downvotes in my history on VIC because CPRT bulls didn't appreciate it... I don't remember when exactly this was, but clearly the stock is down a bunch since then. I'll try it again, with updated data.

I am no Tesla fanboy (I own a good old ICE SUV). However, if you look at Waymo and Tesla FSD data (different approaches - Waymo having much more expensive / LIDAR hardware but only operating in certain areas, Tesla using camera-only but operating in much broader range of environments), you see 5 - 10x type real-world reductions in collisions, with even more meaningful reduction in serious/severe crashes. (Here is an academic study.) It is worth noting that this actually *understates* the safety improvements, as many crashes that these vehicles are involved in are due to other vehicles hitting them. Said differently, if all vehicles were Waymos or Tesla FSD, you would likely need to roughly square the deduction. Of course, these technologies are not perfect (see the recent case of the Tesla FSD deciding to cross an oncoming train), but similar to arguments about AI and coding, *today's ADAS technology is the worst it will ever be.* See (for example) todd1123's writeup on AEVA, and how much better/cheaper LIDAR is getting.

Again, *existing technology, if fully deployed across the car parc,* is already good enough to reduce collisions by 90%+ - this becoming standard is simply a matter of time and economics as existing technology becomes cheaper and filters through the car parc through natural replacement of older vehicles, i.e. if you buy a new Toyota Camry it has vastly more safety tech than a similarly-priced Toyota Camry from 5, 10, let alone 15 years ago. (As for costs, Waymo hardware is way too expensive for mass deployment, but Tesla FSD is fairly affordable). When you then start to think about how much better the hardware will get - as well as the software on top of it (again, see AI progress over the last few years) - being long car collisions clearly doesn't deserve much terminal value assumption.

So far, ADAS improvements have been offset by behavior (such as texting and driving), similar to how some previous safety improvements (e.g. ABS) were offset by more aggressive driving. There's also the increased frequency of total loss (due to more expensive sensors/etc where a minor crash with no injuries can now be much more major from a cost perspective). I believe this dynamic has lulled bulls to sleep because the reality is that if you extrapolate this data out, it's likely that in 30 years, our kids will likely think of major car collisions the same way we think of landline phones or polio/smallpox - a historical curiosity, not an ongoing reality of life. (It's perhaps also worth noting that as AI / tech gets better and better, texting and driving is also likely to stop; there's little reason to pull out your phone and text if you can interact with it via AI and voice through CarPlay or Android Auto.)

CPRT may continue to make money on salvage auto for many years, and as you point out they own land / etc and have some levers to pull. So there may be residual value to the equity. And of course there are modest other reasons for salvage (natural disasters, etc). But this business mostly relies on a phenomenon (car accidents) that are, with a high likelihood, going to go away. You might be right that it's too cheap, but this is clearly now a cigar-butt type investment where you're looking for one last puff vs. a secular compounder.

So I view this one very similarly to the terminal-value debate around AI - I doubt this ever regains its historical multiple and if it did, I think it would be a great short, because there are few more obvious technological trends (to me) than improvements in driving safety - technology can simply process vastly more data than a human brain and react instantaneously, and we don't have to bet on some future state; we simply have to assume existing, proven technology comes down the cost curve and becomes a larger share of the car parc.

Subject Re: Vastly understating ADAS risk
Entry 04/21/2026 09:30 PM

Member tharp05

You may be right. I love Waymo and ride them a lot. Very familiar with the improved safety as a user and have seen the studies. Yet there are still a lot of car accidents in my market with high Waymo penetration. Not sure when the tipping point comes for fewer accidents as Tesla and others enter but my guess is years not quarters, ie long enough for growth to recover at Copart. Think a lot of this is reflected in current share price, but it could certainly go lower from here.

Most cigar butts don't have 35%+ operating margins, clean balance sheets and operate in a rational duopoly. CPRT might not work but it's not some terrible business. I don't think it's a magnificent compounder either but still a decent business that is finally priced as such.

Subject Re: IAA
Entry 04/21/2026 09:52 PM
Member tharp05

Agree the Nov23 short report was well done. To me, a lot of it has played out valuation wise (they assumed a 30x multiple, mid-20s if it really worked--it's now ~20x). Do agree the main risk is multi-yr insurer share losses. Probably could get a little more granular to estimate how long at current rates it would take to get to share parity but have not done that yet.

While mkt share mean reversion will likely continue, it seems bearish that IAA would recover 100% of what it lost as CPRT continues to provide quality service and value. In the meantime, CPRT margins have hung in pretty well (so far) despite decelerating top line.

Subject Re: Re: IAA
Entry 04/22/2026 08:20 AM
Member Fat_Tony

IMO, it's not about how much of the valuation leg played out.

It's about how much of the fundamental thesis is 'done' and how much is still in front of CPRT.

Share parity is still worth a 20-25% hit to CPRT units, even after a year of share losses. If only half of that happens over 5yrs, that's a 2%/yr headwind to CPRT units and a 4%/yr tailwind to IAA units.

Another few yrs of CPRT undergrowth vs IAA would be a v tough setup. The market hates share loss stories.

Anyway, if you are sanguine on ADAS risks, RBA seems a cleaner company. Positive share asymmetry for IAA, not to mention cyclical upside in the half of their biz that isn't IAA (heavy industrial equip auctions). Sure not as cheap, but if you believe the broad cyclical industrial recovery being priced in throughout the market, cheaper than the headlines suggest.

Subject Pushback from Bear Case
Entry 04/23/2026 01:19 PM
Member sethvencen1989

Unlike other commentors, I don't think ADAS is the main unpriced risk and terminal multiple has derated enough to account for that. I've been short CPRT since Nov 2025 on three main factors, which are share loss inertia, poor international expansion prospects, and low reinvestment potential. I think the share loss story is the real concern with IAA SLA performance being equal to CPRT post-acquisition and their relationships with their bigger partners (Progressive in particular) much stronger than Copart's. I've talked to multiple former GEICO and State Farm salvage volume distributors and the entire auto insurance industry is making a pivot towards IAA, as evidenced with Erie flipping a few months ago and State Farm shifting volumes in IL right now. I see no reason why terminal market share should not be 50/50, which is much worse for Copart than current levels. The other two things are the UK failing to be proof-of-concept of CPRT's ability to expand internationally as Spain/Germany auto insurance markets are structurally different than US/UK (insurers never gain ownership of the totaled vehicle), and ROIIC on lots declining over the last few years as CPRT saturates its domestic network.

In my mind this is a 4% domestic grower (half price inclusive of take-rate expansion, half volume) and 5-6% international grower generously before claim frequencies tank from eventual ADAS adoption, which isn't very attractive at current valuation levels.

Subject Re: Pushback from Bear Case
Entry 06/09/2026 12:11 PM
Member costbasis1

Agree with you

From talking to RBA, they think their share can increase from mid- to high-30s today to 50%. Would be a (high-teens %) headwind to Copart's volumes. Until this debate is resolved, hard to see Copart rerate higher.

Additionally, I worry that total loss rates are overearning. From speaking to players in the ecosystem, there's a view that total loss rates have peaked and could normalize lower as used car prices increase. Rising total loss rates may be a structural trend but there may be a cyclical headwind in the interim.

This is still trading at a low-20s NTM FCF multiple (bit lower if you give credit for cash balance) for company with some combination of cyclical and structural headwinds? Think you could see this trade down to high-teens FCF multiple.

Subject Re: Re: Re: IAA
Entry 08/12/2026 12:07 PM

Member hbomb5

Fat_Tony/tharp05: Seems like a lot has happened since the text. Curious if you have a view on Adair returning to the CEO role. Also helpful would be your views on RBA's latest quarter. Thank you

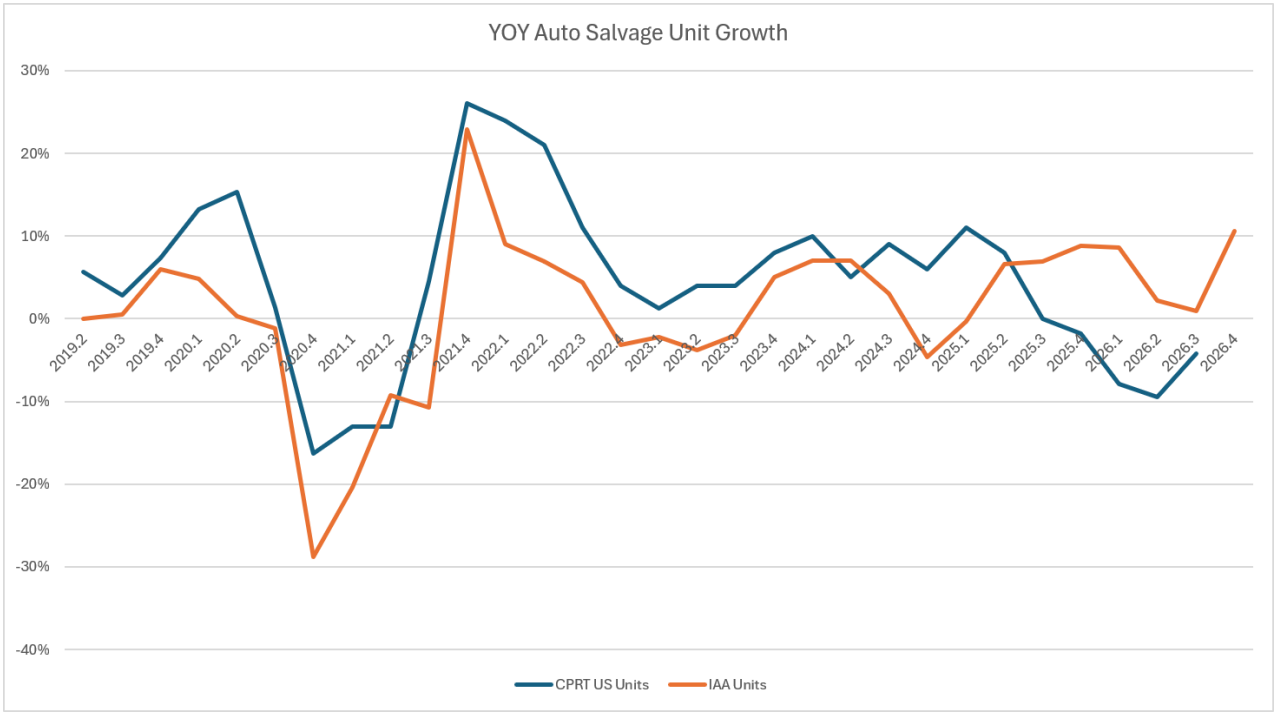
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Subject Re: Re: Re: Re: IAA
Entry 08/12/2026 04:56 PM
Member Fat_Tony

I don't have much to add to the Adair return. Except to say I don't think he has some magic bullet to reverse share losses.

Re: the RBA print...a hiccup on the industrials side of the biz, which doesn't pertain to CPRT. Quarterlies can be lumpy in that biz, though I still think we'll see a recovery as ISM improves, and inventories are depleted.

As it pertains to CPRT, RBA put up another q of blow-out auto units. They explicitly call out further share gains. Don't know CPRT's units yet given they are off-cycle, but likely a quarter of widening share loss to RBA.



Subject Re: Re: Re: Re: Re: IAA
Entry 08/18/2026 08:24 AM
Member Fat_Tony

Subsequent to this post...alt data for CPRT has come in strong for their f4q. Maybe they too will put up a big auto units number.

The scuttle: while IAA has taken share with PGR, CPRT may have won some add'l Geico share.

Subject Re: Re: Re: Re: Re: Re: IAA
Entry 08/18/2026 02:36 PM
Member hbomb5

If okay, please post here and any alt data links if available. Thank you for updating the board.

Subject Re: Re: Re: Re: Re: Re: Re: IAA
Entry 08/18/2026 03:37 PM
Member Fat_Tony

It's yipit, but I hear it conforms with other sources. I don't have direct access/link, sorry.

They all scrape listings, to estimate GMV. Historically they've been pretty good.

Subject Re: Re: Re: Re: Re: Re: Re: Re: IAA
Entry 08/20/2026 09:58 AM
Member hbomb5

Thanks. What are your views on CCC rumors? I am struggling to understand the rationale behind the news, but market is bidding up the stock. If you have a view, please share. (Probably nothing to do with CCC).

Subject Re: Re: Re: Re: Re: Re: Re: Re: IAA
Entry 08/20/2026 10:21 AM
Member Fat_Tony

Deal doesn't make sense to me, from CPRT perspective. Unclear what synergies there would be with salvage auctions.

IMO doing this deal would be neg signal for Adair's outlook for core salvage biz.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: IAA
Entry 08/20/2026 02:43 PM
Member T0YPAJ182

I don't know CPRT too well relative to others here but Adair has been vocal about pursuing M&A opportunities, so don't think there is too much to read into in terms of how CPRT biz has been performing. I guess synergies stem from CCC ONE and CCC Total Repair which is what IAA is trying to build internally with IAA Total Loss Predictor. I expect IAA to push back on this deal so potential for antitrust hiccup along the way.

I've viewed CCC as a value trap since its failed sale process in 2023 and have commented recently on the name on here. Company is running the same playbook as in 2023. Leak to Reuters' Vinn about hiring MS and exploring a sale. Then leak to Bloomberg's Gould about potential buyers. In 2023, it was Advent that pushed for a sale and nothing came to fruition despite specific PE shops being name dropped by Bloomberg. Advent continued to sell and Githesh filed a 10b5-1 within a month or so. I think private equity was interested in taking a look given how historically CCC has been about as high quality of a business you could ask for. When they did their work, I think they could not get comfortable underwriting ADAS / autonomy headwind. The follow-on Advent sales and Githesh sales tell me they were never close to a firm bid. Autonomy / ADAS headwind still exists, except this time around you have competition from frontier labs, which CCC first added to their competitive set in this year's 10-K. CCC's multiple has contracted significantly so maybe this is a price they might pay. CCC also acquired Evolution IQ $730M (60/40 cash and stock) and that has zero appeal to CPRT. My base case is strategic is most logical acquirer of CCC, so I've been underwriting CPRT buying them. Maybe arbs bid it close underwriting a cover bid, but it's trading at a ~40% premium to unaffected price of $5.39 (earnings, Elliott involvement, and IGV bounce since) so struggling to see how much more upside CCC has from here.

Subject ADAS
Entry 08/20/2026 04:25 PM
Member BlueFIN24

In light of all the data I've seen. I'm starting to think ADAS is a low effort argument. I don't think at all that RBA or CPRT are even remotely concerned about ADAS. I highly suggest going through Insurance Institute for Highway Safety's HLDI reports.

On equipped vehicles, forward-collision warning reduces collision frequency by 3.1%, front AEB by 3.0%, and blind-spot monitoring by 2.1%; lane-departure warning has essentially no statistically significant effect. Rear AEB reduces frequency by 8.7%, but primarily eliminates low-speed backing and parking accidents that rarely create salvage vehicles. As a simple illustration, front AEB’s projected 23-point penetration increase multiplied by its 3% efficacy represents only about 70 bps of cumulative fleet-wide collision-frequency pressure through 2028.

ADAS also raises repair severity through sensors, cameras, calibrations and more expensive parts. Combined with rising labor costs, an aging fleet and declining vehicle values, more accidents cross the 70%-75% repair-to-value threshold and become total losses. The observed **2.5% growth in total-loss/salvage activity despite continued ADAS adoption** is the clearest current evidence that this severity effect is outweighing the frequency headwind.

Subject Re: ADAS
Entry 08/20/2026 05:16 PM
Member Fat_Tony

BlueFIN24, I hear you.

But, also, things change slowly then all at once.

That data is all for ADAS. What about fully autonomous? Waymo data across 7m passenger-miles shows a 60% reduction in accidents and an 85% reduction in severe accidents vs human drivers. And those reductions don't include the network effects (i.e. those crashes were almost entirely caused by non-autonomous drivers).

What happens to accident rates when 10% of the fleet is fully autonomous? 20%? 40%? and so on.

At what penetration of the car park does the decrease in accident rates offset the raised severity?

etc.

If you believe that, at some point in the future, the majority of the US car park will be autonomous...then that is obviously trouble for salvage auctions.

The market loathes companies where the writing is on the wall, so to speak. Even if that eventuality is very distant (the avg age of the US car park is 12+yrs after all).

E.g. see the valuations of the US fuel fleetcard operators for the last many years, notwithstanding the US commercial fleet is still 99.9% diesel/gas and electric vehicles are only 2-3% of new commercial vehicle sales.

Subject Re: Re: ADAS
Entry 08/21/2026 09:36 AM
Member BlueFIN24

The consumer cannot buy fully autonomous Waymo jaguars, I mean even if they could -- would they want to drive something that looks like the ambulance from ghostbusters? There is such a huge vanity angle to automobiles but that's a discussion for another day.

More seriously, NHTSA says Level 4 and Level 5 systems remain unavailable for consumer purchase. The Chinese vehicles entering Europe have sophisticated assisted-driving systems, but even there what has actually been approved is still driver assistance and not consumer-owned Waymo equivalent. That distinction matters imo.

I have questions about Waymo data's denominator. The original 7.1 million-mile study found approximately 55% fewer police-reportable crashes and 85% fewer crashes involving any reported injury which isn't really an 85% reduction in severe crashes. IIHS study covering approximately 50 million miles found 68% fewer police-reportable crashes, but it explicitly limited that conclusion to Waymo's current technology and locations. The study excluded interstates and freeways, and nearly half of Waymo's crash involvements occurred on roads with speed limits of 25 mph or less. That proves Waymo works exceptionally well inside its present operating domain but does not establish the same reduction across every road, climate and use case in America is my thinking.

Waymo's crash statistics count crashes regardless of fault while its vehicles operate among human drivers. Human-caused collisions are therefore already included in the observed crash rate. Replacing more human drivers could produce an additional benefit, but its magnitude is unknown and cannot simply be layered on top of the existing 60%-plus reduction.

I think car park penetration is not the right way to go about this. The relevant variable for CPRT is autonomous VMT, and the first-order salvage equation is:

Salvage volume is directly proportional to VMT x blended accident rate x total loss frequency.

So if we use your 60% assumed accident reduction. At 10% autonomous VMT, aggregate crashes decline only 6%. An increase in total-loss frequency from today's ~23% to ~25% would offset that decline. If total loss frequency reaches 27%, autonomous vehicles need approximately 21% of all VMT before salvage volumes decline. At 30% you'd need ~36% autonomous VMT.

All this is before accounting for FHWA's expected 0.5%-0.6% annual growth in light-duty VMT. Waymo currently drives approximately 4 million autonomous miles per week. The U.S. generates roughly 63 billion vehicle miles per week, meaning Waymo represents approximately **0.006%** of current VMT. Getting from there to 10% requires more than a **1,500-fold increase**. Waymo is scaling rapidly, but that illustrates the gap between a successful technology and material penetration of the national transportation system.

Chinese vehicles are the more relevant tail risk for me. Cheap, sensor-rich BYD or Geely vehicles entering America could accelerate fleet replacement and automation adoption. But their low values could simultaneously cause more vehicles to be totaled after relatively modest damage. The sign for salvage volumes remains an empirical question as far as I see it.

While I do think the fleet card analogy supports the argument that autonomy should cap CPRT's terminal multiple before it materially affects earnings, it does not however establish that volumes or cash flow must decline during the next five years. To be clear my argument is not that autonomy never arrives just that a plausible 2040s terminal risk should not be confused with a 2026-30 earnings thesis especially when total loss activity is growing 2.5%.

Would change my view when consumer Level 4 vehicles become commercially available or autonomous VMT reaches meaningful LSD penetration with a credible path toward 10%+ until then don't think salvage volumes are entering secular decline territory.

Subject	Re: Vastly understating ADAS risk
Entry	08/21/2026 11:49 AM
Member	BlueFIN24

While I'm at it, sure -- if Waymo-esque Level 4/5 autonomy eventually captures the majority of U.S. vehicle miles, that will be bad for salvage volumes and should cap CPRT's terminal multiple. But the evidence you cite does not establish that today's consumer technology can eliminate 90%+ of the accident pool, much less that CPRT is going to zero.

In the paper you cite starfox02, the headline 93% reduction came from 39.1 million combined miles, of which 35.2 million i.e. 90% were "testing operations" monitored by a trained safety driver who could intervene. The genuinely driverless sample was only 3.87 million miles. On those miles, property-damage liability claims were 76% lower, while the 100% bodily-injury reduction meant zero claims in a small sample with a wide confidence interval. The paper expressly says it could not distinguish injury severity.

It also measures 3p liability claims, so not all collision involvements. 1p physical damage, total losses or salvage assignments what have you. If another driver hits a Waymo, the accident can disappear from Waymo's at fault liability numerator while still producing one or two damaged vehicles and potentially a total loss. This observation that many Waymo accidents were caused by other drivers therefore highlights the mismatch between this metric and salvage volume so it does not justify extrapolating a larger salvage reduction.

Even Waymo's manually driven data collection vehicles had 34% fewer property damage claims than the calibrated human baseline. That should be an immediate warning that trained operators, vehicle selection, routes and operating conditions explain some portion of the observed difference.

To be fair, newer studies pointing directionally the same way on Waymo being safer. July 2026 IIHS analysis found 68% fewer police reportable crash involvements across approximately 50 million driverless miles, including 81% fewer injury crashes. Impressive no doubts about it. But IIHS explicitly says the conclusion applies to the limited Level 4 operations studied and results also varied by city. It is imo ultimately evidence that Waymo's geofenced robotaxi works just not evidence that the existing U.S. consumer fleet can eliminate 90% of collisions.

The proposal to "roughly square" the reduction once both vehicles are autonomous has no mathematical basis if I'm being candid. Crashes are not two independent Bernoulli failures whose residual probabilities multiply. Most accidents have one initiating event, while weather, objects, animals, road defects,

sensor failures and mechanical failures remain. Not trying to be a broken record on the data but IIHS research found that Waymos rear-ended other vehicles 91% less often but were themselves rear-ended only 40% less often. A fully autonomous network could produce an additional benefit, but its magnitude cannot simply be assumed by squaring one vehicle's result.

Would not conflate Tesla here because that's a different category again. Tesla itself says FSD is supervised, does not make the vehicle autonomous and does not replace the driver. Tesla's newer telemetry says 7x fewer reported collisions which I find very interesting. They even attribute crashes to FSD when it was engaged within five seconds of impact, which is better methodology than the old disengagement criticism suggests. But drivers choose when and where to engage it, and a human remains available to rescue the system. It is therefore not a randomized counterfactual and cannot establish that today's hardware can deliver the same result without supervision.

I think the ADAS/Autonomous skeptics, who I also until recently was -- are collapsing three different products into one adoption curve:

1) Mass market ADAS, where broad insurer data show LSD reductions in collision claims

2) Tesla's Level 2 supervised system

3) Waymo's geofenced Level 4 robotaxi

Only the third operates without a driver. NHTSA continues to state that Level 4 and Level 5 systems are not available for consumer purchase. While tech here improving maybe true, I'm not sure if it translates into an adoption model. As the operating domain expands from selected urban routes into highways, snow, rural roads and long-tail edge cases, the denominator should only become harder.

Consumer Level 4 also requires redundant perception, steering, braking, power, cooling and compute. So assuming it would merely require cheaper lidar or softwares is the wrong framework imo.

So if we zoom out a little here, a full autonomous stack adds substantial compute, sensor and redundancy requirements typically hundreds of watts and maybe potentially 1-2 kW which reduces range and adds cooling and cost. While this should be manageable for a high utilization robotaxi, the economics don't seem to favor private ownership where the vehicle sits idle 95% of the time.

The Commerce Department's connected vehicle rule also prohibits, beginning with model year 2027, vehicles using covered software linked to China or Russia and explicitly encompasses automated driving system software and China linked connectivity hardware is restricted beginning with model year 2030. Cheap BYD or Geely technology therefore cannot simply filter into the U.S. car park on the same trajectory seen in China or Europe. So a domestic or allied supply chain must be built. That delays and raises the cost of diffusion, although it does not make it permanently impossible hence the reason it is my tail risk.

Is this a dead company walking though? That would require the assumption that autonomous VMT reaches critical mass quickly, the present safety advantage survives expansion into every operating environment, severity does not continue offsetting frequency, CPRT generates and returns no meaningful cash before the transition, and its land, logistics and auction network have no alternative use.

If we look at the observable data here. Total loss, valuation, salvage activity is up 2.5% despite continued ADAS penetration. We know CPRT's recent weakness is explainable through the discrete Progressive share loss and unfavorable carrier mix. A previous call that the stock was expensive may have been correct, but subsequent price action does not establish ADAS as the causal mechanism.

If this is a 30 year outcome we're talking about, it can compress the multiple without making the present equity a zero. Thinking about it intuitively, a dollar received in year 30 is worth approximately six cents discounted at 10%. The relevant investment question is not whether autonomy eventually matters. It is WHEN autonomous vehicles represent enough U.S. VMT for the frequency reduction to exceed rising total-loss severity. The current evidence does not show that inflection is close.

My 2c.

Subject	Re: Re: Vastly understating ADAS risk
Entry	08/21/2026 01:43 PM
Member	Fat_Tony

Blue, you are doing a lot more work than me. Much more thorough, and precise.

But with respect, I don't (personally) care about the precision of the Waymo data. I don't care if the 'real' reduction is 85%, 70%, or 50%.

I don't care if it's Waymo, Tesla, Baidu, or someone else who wins the race to autonomous.

I don't care about the backwards looking data on current ADAS tech.

What I do care about:

Is AV technology progressing? Yes, quickly.

Is it plausible that AVs will proliferate? I think so.

Is the proliferation of AVs good or bad for accident rates and therefore salvage? I think bad.

The market shoots first, and asks questions later. And is very forward looking.

*

IMO, AVs are a major source of negative asymmetry for CPRT. I generally avoid things where 1) I already know exactly what the future Disruption case looks like and 2) that case is not preposterous.

My own experience in wheeling out [this Disruption will take a long time...look at the DCF!] has been--in aggregate--atrocious.

Long ago I stopped trying to own those types of situations. Why own something when I know exactly what the 20yr bear case is, and I believe it? Where the central defense is: but that's a long ways away! Especially when we're talking about things like CPRT at 20+x earnings, not tobacco at 6x.

To be clear, others' may have success with that kind of thing. And I wish them well. But I like to make things as easy as possible. Investing is already hard enough.

Subject	Re: Re: Re: Vastly understating ADAS risk
Entry	08/21/2026 03:25 PM
Member	BlueFIN24

I totally get it tony. Your position is the precise efficacy and adoption curve do not matter because AV proliferation is plausible, directionally negative and therefore sufficient to exclude CPRT from your portfolio. Did I get that right?

It's coherent and I don't blame you for thinking about this biz that way. My point is that it is materially different from establishing that CPRT is entering permanent decline or that the equity lacks value.

Precision should matter with these terminal value questions because it determines whether this is an earnings problem in 2032 or a terminal value consideration in 2050 so on and so forth. A 50% vs 85% collision reduction materially changes the autonomous share of VMT required to overwhelm rising total loss severity. So do the differences between consumer ADAS, supervised Level 2 and genuinely driverless Level 4.

The relevant chain for me is as such:

Tech progress -> commercial availability -> fleet penetration -> share of VMT -> accident reduction -> total loss reduction -> CPRT funeral

Progress at the first link simply does not tell us when the final link occurs. Someone eventually winning autonomous driving is not the same thing as autonomy becoming a material percentage of U.S. VMT, and that is not automatically the same thing as salvage volumes declining after accounting for rising repair severity.

The market shooting first and asking questions later is also not inherently bearish to me. If the market capitalizes a highly uncertain 20-year risk into current earnings before the underlying volumes decline, it can shoot too early and create an opportunity.

Is this a new disruption narrative that the market has just discovered? Waymo has been developing autonomous vehicles since 2009 and operating a public driverless service since 2020. CPRT's recent deterioration coincided with a specific Progressive share transfer to IAA and unfavorable customer growth. Most certainly doesn't feel like a sudden autonomous vehicle inflection was the cause.

My central defense is not "don't worry, it is 20 years away." The investable thesis is much nearer term as I see it:

- The Progressive transfer is almost complete
- GEICO appears to be moving additional share toward CPRT
- The underlying salvage pool has already returned to growth
- CPRT's reported comparisons should improve as the discrete share loss is lapped

Those developments can drive earnings revisions over the next several years regardless of what the U.S. vehicle fleet looks like in 2045. AV risk should affect the multiple I am willing to pay and the terminal multiple I underwrite but it does not eliminate the near and medium term cash flows.

I agree that 20x earnings is not tobacco at 6x, and I would not underwrite a return to CPRT's historical premium multiple. Whether approximately 20x adequately compensates investors for the weakened moat and AV overhang is the real valuation debate. I don't think the plausible disruption here adequately answers that.

Negative asymmetry must also be assessed relative to what is already priced. The downside scenario is that autonomous VMT scales much faster than expected and the multiple compresses before earnings are affected. The upside scenario is that the current volume weakness proves to be a finite carrier share reset, earnings reaccelerate, and the market realizes the feared secular decline has not begun. I cannot label the first asymmetry while refusing to estimate its probability, timing or existing discount in the stock.

Ultimately, if you don't want to own this at 20x on a plausible 20 year disruption case then you should pass on it. I cannot rebut your personal portfolio decision not would I try to.

What I would rebut is converting that veto into the factual conclusion that CPRT is a buggy-whip manufacturer heading toward zero. It just requires evidence on efficacy, adoption, timing, offsets and valuation and for that the precision matters.

Subject Re: Re: Re: Re: Vastly understating ADAS risk
Entry 08/24/2026 07:46 AM
Member Fat_Tony

Understood Blue, appreciate the back and forth.

FWIW, the simple though that [hey, there's obvious existential risk here] helped me short this at $60+/shr.

Now, to be fair, that was an easier call when CPRT was pushing 40x PE. And their fundamental struggles thus far have had nothing to do with AVs.

But, I think that disruption risk is part of why CPRT was able to draw down nearly 60%, to it's lowest relative valuation in ~25yrs, despite their history as a "compounder darling".

Subject Re: Re: Re: Re: Re: Vastly understating ADAS risk
Entry 08/24/2026 01:31 PM
Member BlueFIN24

Appreciate the exchange, and shorting CPRT above $60 at approximately 40x earnings was clearly the right trade.

I would separate the correctness of the trade from the proposed causal explanation, though. The drawdown instead coincided with observable, company-specific developments: growth deceleration, the Progressive volume transfer to IAA, unfavorable carrier mix and evidence that IAA had narrowed the operational gap. A stock previously priced as a flawless compounder at roughly 40x does not need an existential technological threat to fall sharply when its moat and growth rate are simultaneously questioned.

What is the evidence that AV risk contributed meaningfully to the de-rating? The risk was already well known when CPRT traded above $60. The long-term autonomy argument has existed for well over a decade. I am unaware of a corresponding inflection in consumer Level 4 availability, autonomous U.S. VMT or salvage volumes during the period in which CPRT's multiple collapsed.

Connecting that decline to terminal value concerns vis-a-vis autonomous and Waymo seems like post hoc attribution to me.

There is also an important implication if your attribution is correct. If AV risk helped drive CPRT to its lowest relative valuation in decades, then AV risk has already been capitalized into the stock. It cannot simultaneously explain the historic de-rating and remain an entirely unrecognized source of negative asymmetry.

At which point we'd be debating whether the discount is sufficient.

I think the clean interpretation is simpler:

- At 40x, CPRT was priced for continued double-digit growth and an essentially pristine moat.
- The Progressive loss, IAA's improvement and slowing growth broke that narrative.
- The multiple reset toward 20x.
- AVs may now impose a ceiling on how far the multiple can recover, but there is no evidence they caused the earnings or volume weakness.

That distinction matters to the long case. I do not need CPRT to regain 40x. I need the Progressive transfer to finish, the growing salvage pool and GEICO share gain to become visible, and earnings expectations to bottom. If that happens while the stock already carries a dramatically lower multiple including some discount for AV uncertainty, then the same de-rating that made the short work may now be what creates the opportunity.

Subject Helpful Discussion
Entry 08/24/2026 03:37 PM
Member hbomb5

Thank you, BlueFin24 and Fat_Tony, for taking the time to share your thoughts and for keeping the discussion civil and constructive.

Subject Re: Re: Re: Re: Re: Re: Vastly understating ADAS risk
Entry 08/25/2026 10:09 AM
Member Fat_Tony

Agree with you Blue that the last yr or so of weak results have had nothing to do with AVs.

In my experience, a terminal boogeyman lends itself to more violent mkt reactions to negative results, even if said results are unrelated to the terminal fear.

*

Anyway...back to the present circumstance:

Barcap note today confirming the recent share shift scuttlebutt.

Barcap estimates that the net impact of RBA's recent PGR expansion and CPRT's GEICO expansion is +6% vols to RBA and -3-4% vols to CPRT.

I believe RBA's blow-out 2q auto units incl much of the PGR win, but GEICO is more of a 2H shift.

Subject Q4'26 Earnings / ACVA Acquisition
Entry 09/17/2026 07:12 PM
Member AZA0601

Any updated thoughts post-earnings? Down ~10% since